University of Kelaniya, Sri Lanka

MGTE 34213: Managerial Finance

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Introduction to Financial Management

Session 1

Learning Outcomes

At the end of the session students should be able to;

LO 01 : Explain the overview of financial management and its importance

LO 02 : Differentiate between accounting and financial management

LO 03 : Discuss the key financial decisions in business

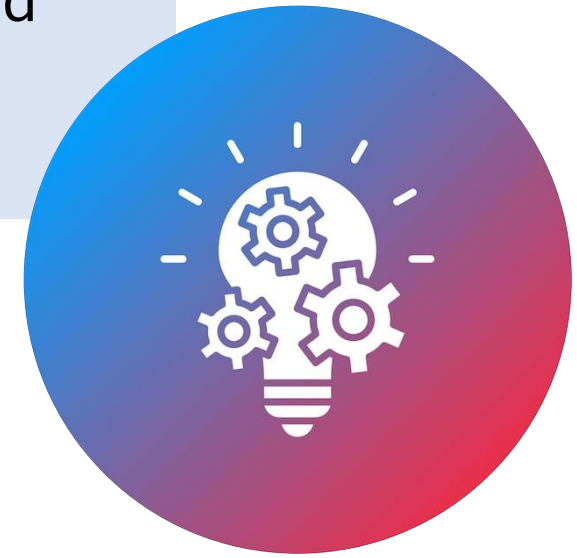
LO 04 : Discuss the Principal-Agent Problem and Managerial Implications

What is Accounting?

What is Finance?

Accounting

The process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by users of the information.



Financial Management, Corporate Finance and Managerial Finance

Financial Management	Corporate Finance	Managerial Finance
Financial management is the broader field that involves planning, organizing, controlling, and monitoring financial resources within an organization to achieve financial goals.	Corporate finance focuses on how businesses manage their financial resources to maximize value for shareholders. It deals with major financial decisions, such as funding, investment strategies, and risk management.	Managerial finance is a subfield of financial management that focuses on applying financial techniques and data to business decision-making. It bridges finance and management by analyzing financial statements and using financial information to improve business performance.

Activity 01

List Key Differences between Accounting and Finance

Aspect	Accounting	Financial Management
Definition	The process of recording, summarizing, and reporting financial transactions.	The planning, organizing, and controlling of financial resources to achieve business goals.
Focus	Past financial transactions and ensuring accuracy in financial records.	Future financial planning, investment, and decision-making.
Objective	Ensure accurate financial reporting and compliance with laws.	Maximize the company's financial performance and shareholder value.
Timeframe	Historical (records past transactions).	Forward-looking (focuses on future financial strategy).
Key Functions	Bookkeeping, financial statements, tax preparation, and auditing.	Budgeting, forecasting, capital allocation, and risk management.
Decision-Making	Primarily compliance-based and procedural.	Analytical and strategic, focusing on profitability and growth.
Regulations & Standards	Governed by accounting standards.	No specific regulations and standards to adhere with.
Users of Information	Internal (management) and external (investors, tax authorities, regulators).	Internal (CFOs, managers) for decision-making.

Reasons to Study Finance

- **Some General Reasons**

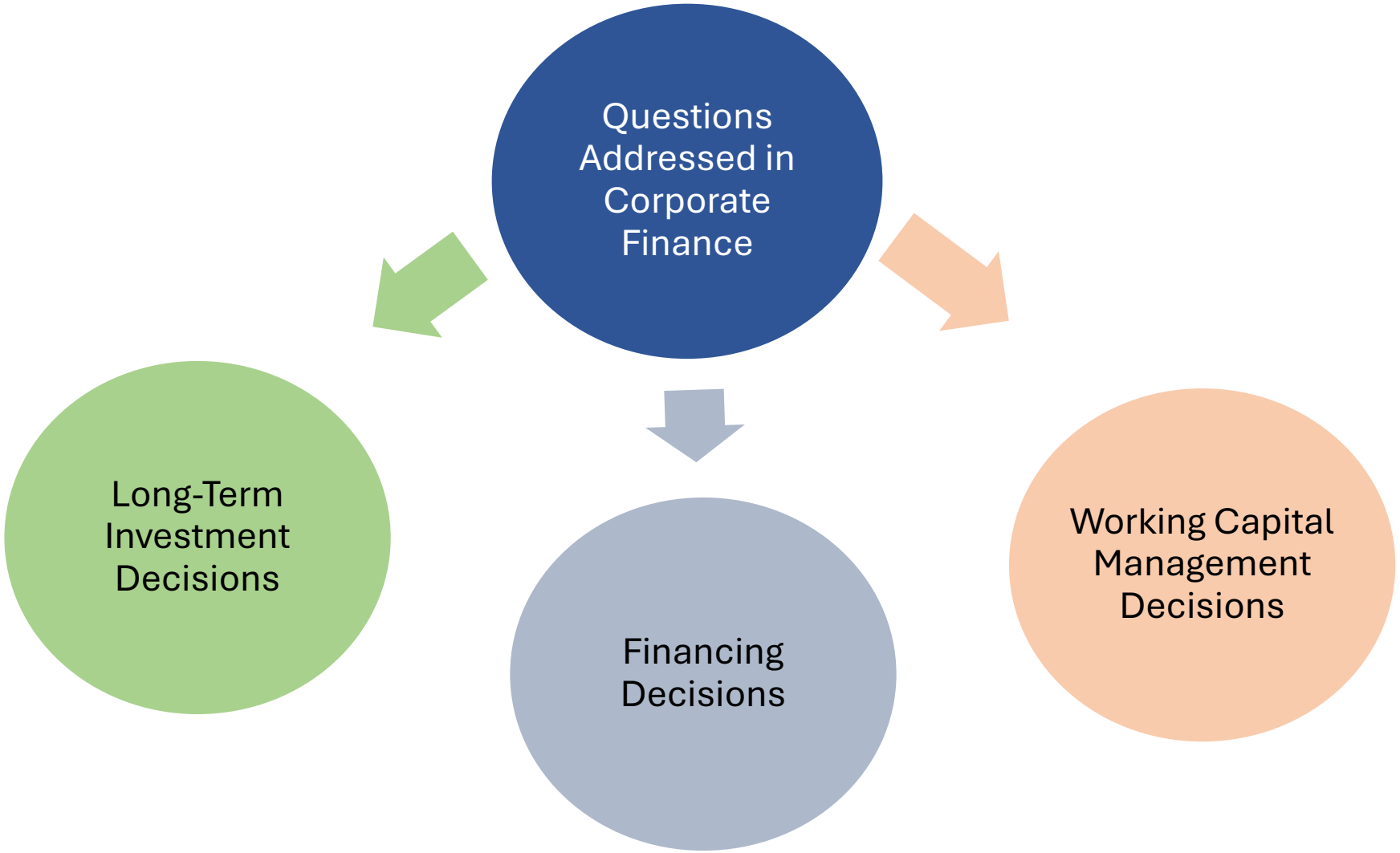
  i. **Financial Literacy -** Helps in personal money management, including budgeting, investing, and wealth building.

  ii. **Decision-Making Skills -** Develops analytical and strategic thinking for business and personal finance.

  iii. **Global Impact -** Finance is a key driver of economies, businesses, and innovations worldwide.

  iv. **Entrepreneurship -** Essential for managing cash flow, raising capital, and ensuring business sustainability.

Main Questions Addressed in Corporate Finance



1. Long-term Investment Decisions

- The process of planning and managing a firm's long-term investments is called **capital budgeting.**
- In capital budgeting, the financial manager tries to identify investment opportunities that are worth more to the firm than they cost to acquire.
- The types of investment opportunities that would typically be considered depend in part on the nature of the firm's business.
- Regardless of the specific nature of an opportunity under consideration, financial managers must be concerned not only with how much cash they expect to receive, but also with when they expect to receive it and how likely they are to receive it.
- Evaluating the size, timing, and risk of future cash flows is the essence of capital budgeting.

2. Financing Decisions

- The second question for the financial manager concerns ways in which the firm obtains and manages the long-term financing it needs to support its long-term investments.

- A firm's capital structure is the specific mixture of long-term debt and equity the firm uses to finance its operations.
- The financial manager has two concerns in this area.
  - First, how much should the fi rm borrow?
  - Second, what are the least expensive sources of funds for the fi rm?

3. Working Capital Management Decisions

- The term working capital refers to a firm's short-term assets, such as inventory, and its short-term liabilities, such as money owed to suppliers.
- Managing the firm's working capital is a day-to-day activity that ensures that the firm has sufficient resources to continue its operations and avoid costly interruptions.
- This involves a number of activities related to the firm's receipt and disbursement of cash.
- Some questions about working capital that must be answered are the following:
  - How much cash and inventory should we keep on hand?
  - Should we sell on credit?
  - How will we obtain any needed short-term financing?

Question No. 01

What is the role of a financial manager in a corporation?

A. Only preparing financial statements

B. Making decisions that increase stock value

C. Setting interest rates for banks

D. Managing government regulations

What is the Main Objective of a Corporation?

Survive

Minimize costs

Beat the competition

Maximize sales or market share

Maximize profits

Maintain steady earnings growth

- The financial manager in a corporation makes decisions for the stockholders of the firm.
- Given this, we really need to answer a more fundamental question: ***From the stockholders' point of view, what is a good financial management decision?***
- If we assume that stockholders buy stock because they seek to gain financially, then; Good decisions increase the value of the stock, and poor decisions decrease the value of the stock.
- Given this observation, it follows that the financial manager acts in the shareholders' best interests by making decisions that increase the value of the stock.

The goal of financial management is to maximize the current value per share of the existing stock.

Question No. 02

What is the primary objective of financial management in a corporation?

A. Maximizing profits

B. Minimizing costs

C. Maximizing the current value per share of the existing stock

D. Maintaining steady earnings growth

Question No. 03

What does capital budgeting involve?

A. Managing a firm's short-term assets and liabilities

B. Evaluating the size, timing, and risk of future cash flows

C. Determining the best financing structure for a company

D. Maximizing sales and market share

Question No. 04

Which of the following is NOT a key decision area in corporate finance?

A. Capital budgeting

B. Market segmentation

C. Financing decisions

D. Working capital management

The Agency Problem

Agency Relationship

Shareholder
(Principal)

Manager
(Agent)

The Agency Problem

The possibility of conflict of interest between the

Stockholders (Principal) and

management (Agent) of a firm.

Example

- Imagine that a firm is considering a new investment. The new investment is expected to favorably impact the share value, but it is also a relatively risky venture.

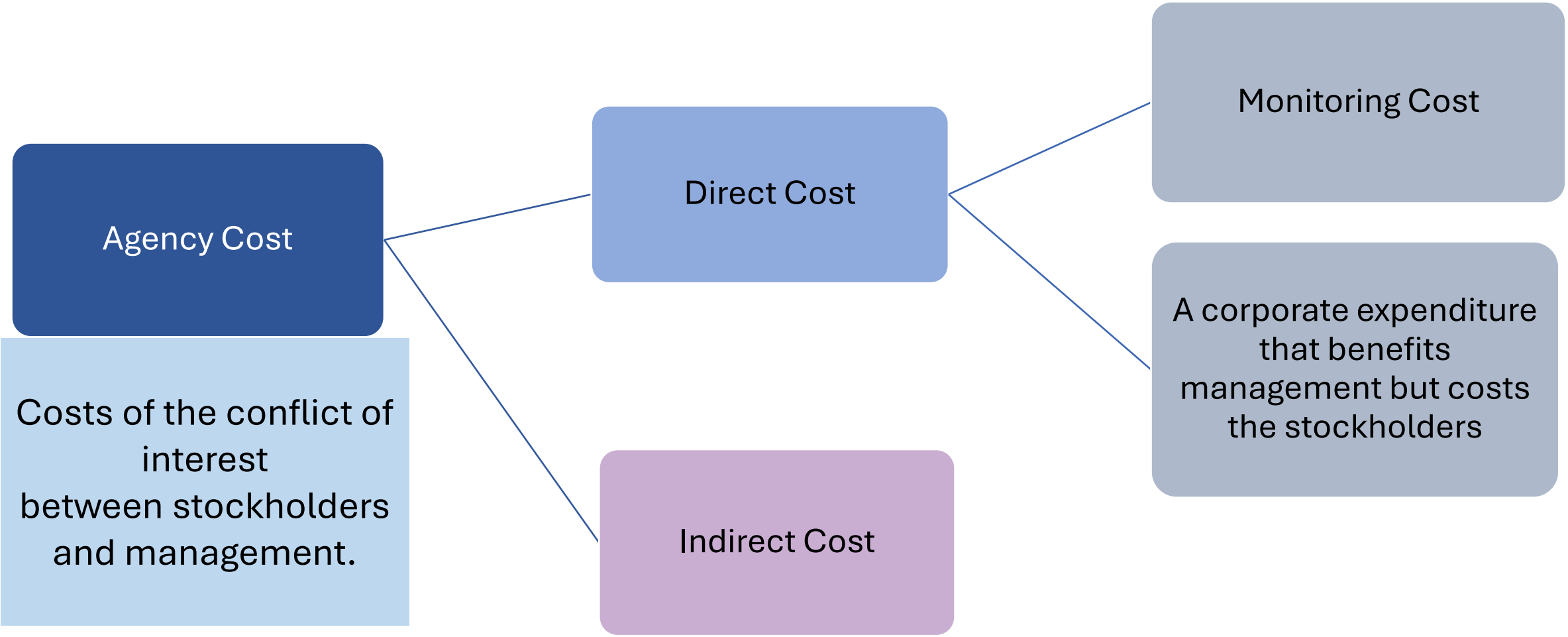
- The owners of the firm will wish to take the investment (because the stock value will rise), but management may not because there is the possibility that things will turn out badly and management jobs will be lost.

- If management does not take the investment, then the stockholders may lose a valuable opportunity.

Activity 02

Find out some real-world examples for Agency Problem

❖ Agency Cost


Agency Cost
Costs of the conflict of interest between stockholders and management.
Direct Cost
Indirect Cost
Monitoring Cost
A corporate expenditure that benefits management but costs the stockholders

❖ Do Managers Act in the Stockholders' Interests?

Depends on;

How closely are management goals aligned with stockholder goals? (Managerial Compensation)

Can managers be replaced if they do not pursue stockholder goals?

(Control of the Firm)

1. Managerial Compensation

- Management will frequently have a significant economic incentive to increase share value for two reasons.
- ***First***, managerial compensation, particularly at the top, is usually tied to financial performance in general and often to share value in particular.
- For example, managers are frequently given the option to buy stock at a bargain price.
- The more the stock is worth, the more valuable is this option.
- In fact, options are often used to motivate employees of all types, not just top managers.
- **For example**, in 2007, Google announced that it was issuing new stock options to all of its 16,000 employees, thereby giving its workforce a significant stake in its stock price and better aligning employee and shareholder interests.

- ***The second*** incentive managers have relates to job prospects.
- Better performers within the firm will tend to get promoted.
- More generally, managers who are successful in pursuing stockholder goals will be in greater demand in the labor market and thus command higher salaries.
- In fact, managers who are successful in pursuing stockholder goals can reap enormous rewards.
- **For example**, the best-paid executive in 2007 was Lawrence Ellison, the CEO of Oracle. According to Forbes magazine, he made about $193 million. By way of comparison, Ellison made less than J.K. Rowling ($300 million) and Oprah Winfrey ($275 million), and way more than Tiger Woods ($115 million). Over the period 2003–2007, Apple CEO Steve Jobs was the highest-paid executive, earning about $661 million.

2. Control of the Firm

- Control of the firm ultimately rests with stockholders.
- They elect the board of directors, who in turn hire and fire managers.
- The fact that stockholders control the corporation was made abundantly clear by Steven Jobs's experience at Apple.

  Even though he was a founder of the corporation and was largely responsible for its most successful products, there came a time when shareholders, through their elected directors, decided that Apple would be better off without him, so out he went. Of course, he was later rehired and helped turn Apple around with great new products such as the iPod and iPhone.

Question No. 05

What is the agency problem in financial management?

A. The inability to balance short-term and long-term investments

B. The conflict of interest between stockholders and management

C. The issue of financing new investments

D. The difficulty of managing working capital

Question No. 06

What is an example of an agency cost?

A. A firm investing in a new technology

B. Managers using company resources for personal benefits

C. Increasing employee salaries to retain staff

D. A company expanding its operations overseas

Question No. 07

How can shareholders ensure that managers act in their best interests?

A. By paying them a fixed salary

B. By offering stock-based compensation and monitoring performance

C. By allowing complete managerial independence

D. By ignoring financial reports

Mini Case Study

Zenith Corp, a technology company, is at a turning point. The firm's stock price has remained stable, but shareholders want to see higher returns. The CEO, Mr. Larson, has two options:

a. Invest in a risky AI-driven project that could increase stock value significantly but has a 40% chance of failure.

b. Continue with traditional product development, which guarantees steady but modest growth.

Mr. Larson is hesitant about the AI project because a failure could affect his job security. However, shareholders prefer the AI project since it has the potential to boost stock prices and their investments.Meanwhile, the company has a high amount of cash reserves. The board is considering issuing dividends to shareholders, but Mr. Larson argues that reinvesting the money into the business is a better strategy.

Questions

a. What type of financial decision is Mr. Larson facing regarding the AI-driven project?

b. How does this case relate to the agency problem?

c. What steps could shareholders take to align Mr. Larson's interests with their own?

Thank You